cial reasoning. Don't be governed by social media influencers, and even conversations with friends who may be experienced investors or just glib talkers. Investing without fully understanding the risks or the potential for long-term returns can result in losses. Stop chasing hot stocks and tips. You need some understanding of investing before committing.

In the run-up to the 2024 general election, the BSE Sensex reacted cautiously from January 2024 with frequent fluctuations. This was in anticipation of the election outcome, which is an important matrix for stock market movements (see chart, *Cautious Moves*). Then, during an election rally in May, just towards the last phase of voting, Prime Minister Narendra Modi said that investors would benefit from the stock market investments on June 4, the day the election results were to be announced. This comment made many investors lust for the possible fast gains for their investments. The Sensex moved up from around 73,000 to 76,000 on June 3. Lust did pay off.

However, within a day of the election results, the Sensex witnessed a massive fall of 4,389 points in a single day. The Sensex was 76,468 points on June 3 and ended June 4 at 72,079 points. The 5.7 per cent single-day fall is a suitable example of how lust can cause harm. Now, some investors may be sulking at having missed the opportunity of investing on June 4, 2024 (see *Short Rebound*). Lust, when investing, has no rational foundation. Don't forget your investment purpose; you are the best judge of your interests.

2 GREED: CRAVING FOR MORE

Greed is a powerful emotion that drives market movements, and fear complements it. Greed can cause poor investment choices. If you have felt safe keeping money in the bank and not investing it, you are not alone. However, diminishing bank interest rates and rising awareness about gains from stock market investments induce a greed to invest to benefit from the upside it offers. Ignoring the risk that is inherent to investing and moving your savings from the bank to investing is being greedy.

Investing blindly, instead of keeping money in the bank, is a big mistake. Unlike banks, where the money earns a fixed return, investing in stock markets doesn't guarantee any returns. You need to understand this basic difference. Based on historical data, the annualised returns posted by the Sensex since 1980 are 16 per cent, which is well above the 2.5-3 per cent returns currently available in bank savings deposits. But this data alone should not make you greedy to invest in the stock market.

Take, for instance, the annual returns posted by the Sensex over the past 10 years (see *Annual Sensex Returns*); there have been years when the returns have been negative. Investing in stock markets can erode capital. The lesson is not to be greedy and factor in the risks involved. Another aspect that results in greed is when investors make a big profit on a particular investment. The example of IPOs is often a good reference point. While many successful IPOs tend to gain on listing, it doesn't always mean that all IPOs are profitable on listing.

Similarly, don't fall prey to investing heavily in one type of stock, sector or index. Chasing trends is the best instance of being greedy. The way to overcome this sin is to create a sensible investment plan or principle that works for you, and stick to it. Have a list of criteria based on which you will invest, and tick them off every time you make an investment based on your assessment. Another aspect of greed is holding on to specific investments without a clear reason.

Investments in real estate are an example where people don't factor in the opportunity loss they incur due to greed, waiting for prices

VOLATILE TURNS

Early 2024 saw restrained Sensex gains, followed by a volatile bounce after the June general election results



